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ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

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# Caris Life Sciences

22 October 2026 · the qualitative

**$32.35**

NASDAQ : CAI $9.14B mkt cap · 283M sh · $800M cash, $400M debt · FY25 revenue $812M (+97%!); GM 47%→65%, 68% in Q2'26; adj-EBITDA +$138M; FCF-positive; IPO Jun-2025 @ $21, now $32.35 (+54%); FY26 guide raised $1.03-1.04B (+27-28%); ~$0.4B net cash; Halbert ~44% vote; · Mature-Company DCF SBC ~$70M flatters adj-EBITDA; ~$33M of FY25 rev was reimbursement true-ups

## THE CENTRAL QUESTION

After doubling on a beat-and-raise, Caris trades ~8x sales — above Tempus — with the base case ~40% below the price: is the market right to pay now for Caris Detect and the data platform before either shows revenue?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome/transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at $21.00 and now trades $32.35 after doubling since July on a beat-and-raise (Q2'26 revenue +45%, gross margin 68%, FY26 guide raised to $1.03-1.04B) and favorable preliminary 2027 Medicare rates. At ~8x sales it is priced above Tempus, while owner free cash flow runs ~zero this year as it builds out Caris Detect, a cash-pay screening test with no revenue yet. Weighted fair value $23.62, ~27% below spot; the base case ($19.35) sits ~40% below, with ~73% of the probability mass at or below the price.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -40.2% · 73% at or below spot

**$23.62** expected fair value today

-27.0% vs spot $32.35

## FORWARD COMPOUNDED VALUE

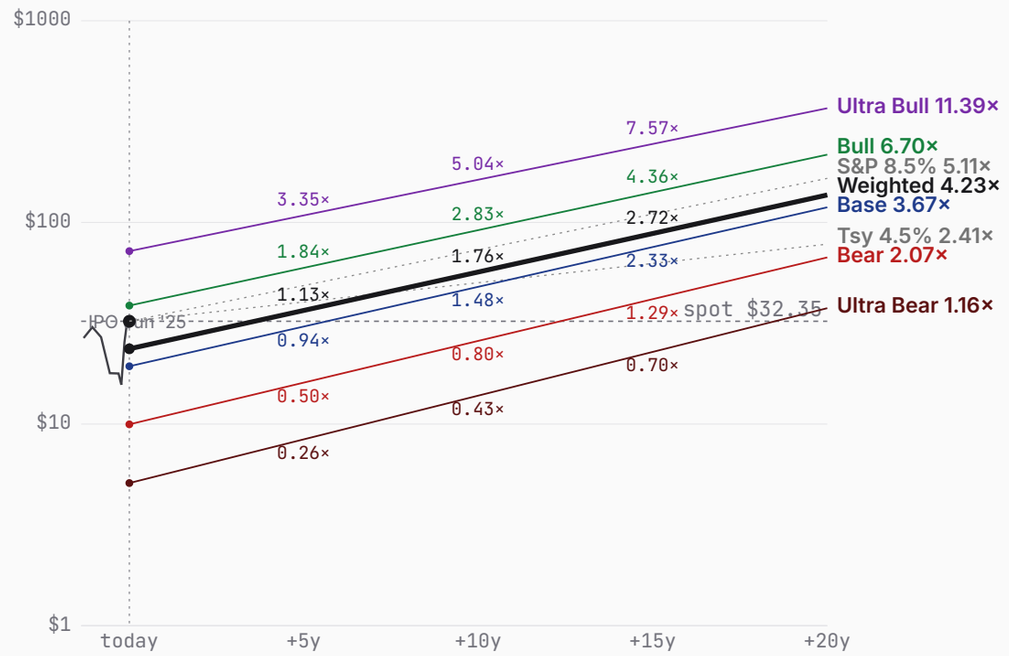
| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $36.61 | $56.78 | $88.11 | $136.83 |
| 1.13× spot | 1.76× spot | 2.72× spot | 4.23× spot |

## WEIGHTING RATIONALE

**Ultra Bear 10%** Q4 stumble then stall, growth ~6.6%, the true-up reverses, margins near zero — DCF $5.10.
**Bear 27%** Modest guide miss, decelerates to ~12%, the multiple re-rates down — DCF $9.97.
**Base 36%** ~17.4% growth, margin inflection holds to 21% owner-FCF — DCF $19.35, ~40% below spot.
**Bull 18%** ~22% hypergrowth, the data moat drives operating leverage — DCF $38.69.
**Ultra Bull 9%** ~27% growth, oncology-data standard, software-like 35% margins — DCF $72.05.

Bull (18%) + Ultra Bull (9%) together contribute $13.45 — 57% of the $23.62 expected value despite 27% combined probability. Today's spot ($32.35) sits 37% above the weighted expected; the forward-weighted value reaches spot in about 4 years.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




| ULTRA BEAR | BEAR | BASE | BULL | ULTRA BULL |
|---|---|---|---|---|
| $5.10 | $9.97 | $19.35 | $38.69 | $72.05 |
| -84.2% vs spot | -69.2% vs spot | -40.2% vs spot | +19.6% vs spot | +122.7% vs spot |
| CAGR +6.6% WACC 10.5% | CAGR +12.0% WACC 10.0% | CAGR +17.4% WACC 9.5% | CAGR +22.1% WACC 9.0% | CAGR +26.8% WACC 8.5% |
| CAGR +6.6% Prob 10% | CAGR +12.0% Prob 27% | CAGR +17.4% Prob 36% | CAGR +22.1% Prob 18% | CAGR +26.8% Prob 9% |
| Q4 stumble, then stall | Decelerates; multiple ran ahead | Solid growth, the margin inflection holds | Hypergrowth + data-moat leverage | Becomes the oncology-data standard |

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# Caris Life Sciences scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 10% Bear 27% Base 36% Bull 18% Ultra Bull 9% · Weighted expected $23.62 (-27.0% vs spot)

## ULTRA BEAR $5.10

-84.2% vs spot

Probability 10%

### Q4 stumble, then stall

#### WHY 10%

Requires the volume engine to stall from Q4 onward and the true-up to be a one-off rather than a recurring feature of payer settlements. With H1'26 booked at +59% a 2026 collapse is arithmetically foreclosed, so the stall must arrive from FY27 — a longer conjunction than in July. Trimmed from 13% to 10%, the three points to the base.

#### WHAT HAPPENS

FY26 lands ~$983M after a Q4 stumble — a miss of the raised guide — and revenue then compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~$81M of prior-period catch-ups booked in Q4'25 alone make the H2'26 comparison optically weak, and the reported growth rate is exposed as flattered.

Margins barely move off the floor — owner-FCF ~0% this year and only ~10% by FY30 — as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~8x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at $5.10, down 84%.

## BEAR $9.97

-69.2% vs spot

Probability 27%

### Decelerates; multiple ran ahead

#### WHY 27%

The honest deceleration case — the +27-28% guide is still a steep step-down from +97%, and a further slide plus pricing pressure is plausible. Held at 27% because the evidence is mixed: the guide was raised and the preliminary 2027 CMS rates went Caris's way, but Q2'26 clinical volume printed +18% (below the ~20% the flywheel needs), the pharma/data line ran ~$17M in H1 against a $75-85M guide — the data moat's direct monetization is lagging — and the rates stay preliminary until November.

#### WHAT HAPPENS

FY26 comes in ~$1.02B — a modest miss of the raised $1.03-1.04B guide — then growth decelerates from FY27 to ~12% compounded as the H2'25 true-up comps and per-test pricing pressure bite and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.

The market re-rates an ~8x-sales name toward something closer to a low-double-digit grower, and the post-rally premium unwinds. At a 0%-to-15% owner-FCF path the DCF is $9.97, down 69%. The setup is a quality business priced ahead of its delivery.

## BASE $19.35

-40.2% vs spot

Probability 36%

### Solid growth, the margin inflection holds

#### WHY 36%

Centered on management hitting the raised FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years and H1'26 already showed. Raised from 33% to 36% with the points the ultra bear released as a 2026 collapse became foreclosed; still below the 45-55% modal norm because the ~20% volume threshold (+18% in Q2'26) and the pharma/data line are unproven.

#### WHAT HAPPENS

Revenue compounds ~17.4% off the raised $1.03-1.04B FY26 guide as clinical test volume grows ~20% and Caris Assure, MI Cancer Seek and the MolDX-covered ChromoSeq myeloid assay (May-2026) add incremental lives. Gross margin already reached 68% in Q2'26; owner-FCF is ~1% this year under the Detect build-out, then leverages toward 21% by FY30.

This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At $19.35 the DCF sits ~40% below the $32.35 price — executing the plan no longer clears spot; the market has moved past the base case.

## BULL $38.69

+19.6% vs spot

Probability 18%

### Hypergrowth + data-moat leverage

#### WHY 18%

Needs growth to stay above 20% well past the raised guide and the gross-margin gains to keep compounding into operating leverage. No FY27 guide exists and Caris Detect has no disclosed revenue, so the condition is not yet evidenced; held at 18%.

#### WHAT HAPPENS

Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.

Operating leverage on a fixed data and lab base pushes owner-FCF from ~2% this year toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches $38.69, up 20%, as the data-moat thesis starts to show in the financials.

## ULTRA BULL $72.05

+122.7% vs spot

Probability 9%

### Becomes the oncology-data standard

#### WHY 9%

The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.

#### WHAT HAPPENS

Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests. Caris Detect (launched Jul-2026: $3,500 cash-pay, no coverage, capacity being tripled to ~$3B, demand ahead of plan; ACHIEVE-1 stage I-II sensitivity 61%, specificity 95%) is unpriced optionality on top — no FDA filing, so outside the 2028 Medicare MCED pathway — narrated here, not modeled.

Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At $72.05 the DCF is ~2.2x the price. This is the platform outcome where the cornered data resource and scale economics fully express.

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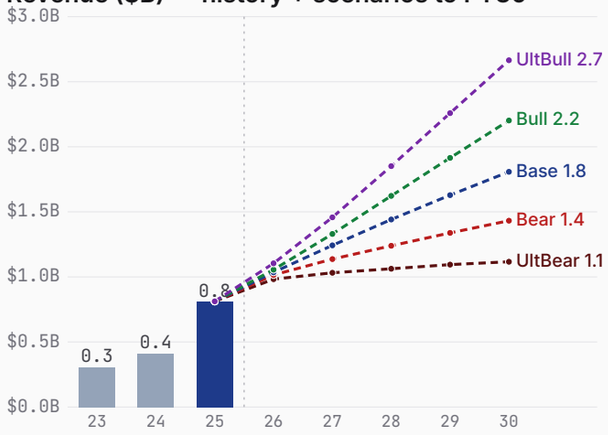
# Caris Life Sciences business snapshot



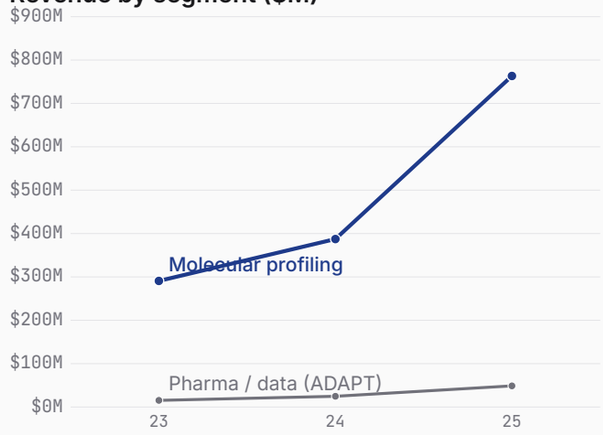
Bear $9.97 Base $19.35 Bull $38.69

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + H1'26 results (IPO Jun'25)

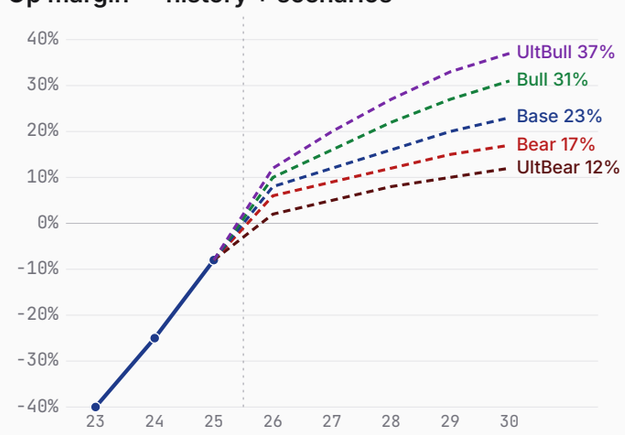
## Revenue ($B) — history + scenarios to FY30



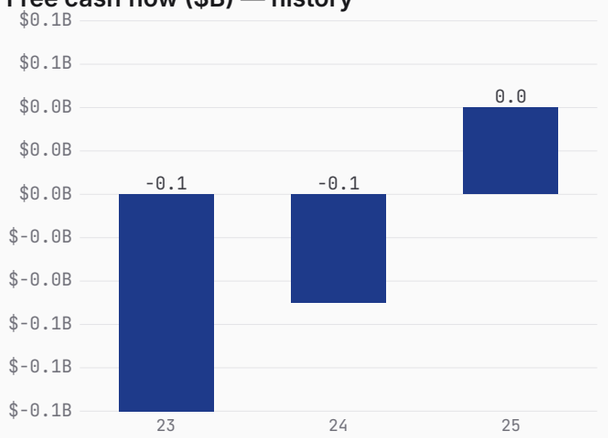

## Revenue by segment ($M)



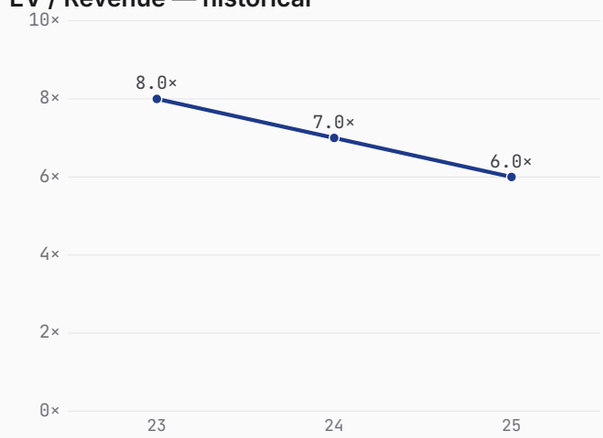

## Op margin — history + scenarios



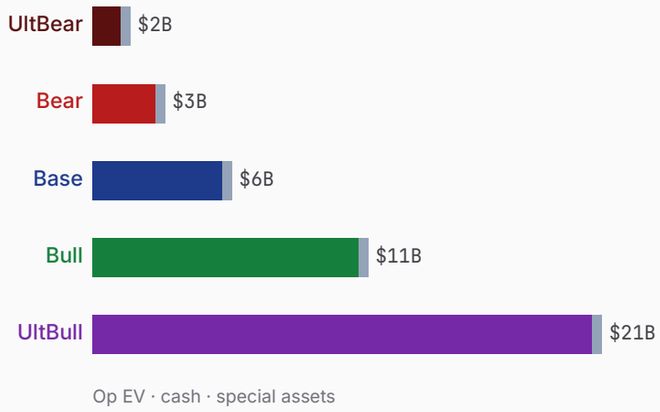

## Free cash flow ($B) — history




## EV / Revenue — historical




## Equity build (Op EV + net cash)




Sources: Caris Life Sciences FY2025 results + H1'26 (Q2 8-K 2026-08-05; CIK 2019410), IPO 424B4 (Jun 2025), raised FY26 guidance. Revenue as a growth-rate path off FY25 ($812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (~0% in FY26 under the Detect build-out; SBC ~$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

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# Caris Life Sciences 7 Powers · the moat, scored

Bear $9.97 Base $19.35 Bull $38.69

**Arena.** Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Abbott (Exact Sciences, acquired Mar-2026) for tumor-profiling and liquid-biopsy volume. The Caris Detect launch (Jul-2026) adds a cash-pay multi-cancer early-detection front versus Grail's Galleri and Exact's Cancerguard, where Medicare coverage under the 2026 MCED Act is gated on FDA approval — a pathway Grail has entered (FDA panel Sep-2026) and Caris has not.

**POWER AUDIT**
dominant-power durability: medium

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** ■■□ | Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%. |
| **Network Economies** ■■□ | More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand. |
| **Counter-Positioning** ■□□ | Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap. |
| **Switching Costs** ■□□ | Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools. |
| **Branding** ■□□ | Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption. |
| **Cornered Resource** ■■□ ◂ thesis leans here | The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat. |
| **Process Power** ■□□ | Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability. |

## PEER SET

**Tempus (TEM)** 25% gr · ~8.5x sales
AI-precision-oncology data peer; owner-FCF still negative, the direct comp — Personalis merger S-4 filed (~$1.5B all-stock, close late-2026/early-2027) to build MRD; FDA-approved xT CDx (May-2026) unlocks unified ADLT pricing from 2027

**Guardant Health** 37% gr · -10% mgn · ~6x sales
Liquid-biopsy leader, still loss-making; FY26 guide +36-38%; Liquid CDx FDA-approved May-2026, stepping to the $8,455 Medicare rate

**Foundation Medicine** · division
Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced

**Natera** 31% gr · ~9x sales
Genetic testing and MRD; faster-growing, ~breakeven, richer multiple

## THREAT VECTORS · FALSIFIERS

**scale/pricing** · Tempus, Guardant, Foundation
falsifier: Per-test pricing falls under payer and competitive pressure, halting the margin inflection — trips if gross margin falls below 65% (the FY25 level) for two consecutive quarters, or final CY2027 rates (Nov-2026) land below the preliminary $8,455 for MI Cancer Seek or $5,250 for Caris Assure. First test survived: the preliminary schedule cut ~1,100 codes but held or raised both; Q2'26 gross margin 68%.

**Cornered Resource** · Tempus, Roche, Natera
falsifier: A rival assembles a comparable comprehensive-profiling dataset before Caris's scale and network effects lock in — trips when a rival reports a completed dataset of at least 100,000 multimodal whole genomes, Tempus's first stated milestone (effort launched Sep-11-2026; 1M-genome goal). Tempus's ~$1.5B Personalis deal (S-4 filed) separately consolidates the MRD front. Not tripped: an effort is not a dataset.

**Network Economies** · well-capitalized incumbents
falsifier: Volume growth stalls below ~20% (Q2'26 printed +18%), so the data and scale flywheel never reaches the operating leverage the bull case needs. MRD is crowding: Natera Signatera ~283k tests (+56%), Guardant Reveal >2x, FoundationOne MRD (May-2026, Medicare-covered) and Tempus/Personalis are all ahead of Caris's two H2-2026 MRD launches, with MolDX and New York State decisions still pending.

**COMPETITIVE READ**

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-68% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus has now moved on the core dataset (100k genomes, Sep-2026) as well as MRD, and reimbursement pricing is the shared vulnerability, though it held its first, preliminary test. The falsifier the bull must clear is sustained ~20%+ volume growth (Q2'26: +18%) with the gross margin holding the high-60s; Detect's screening front is contested with Grail on an FDA/Medicare pathway Caris has not entered.

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# Caris Life Sciences show your work

Bear $9.97 Base $19.35 Bull $38.69 · Weighted $23.62 (-27.0%)

## ULTRA BEAR $5.10

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +6.6 |
| Year-5 op margin (%) | 12.0 |
| WACC (%) | 10.5 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $0.11B |
| Starting revenue ($B) | 0.81 |
| Scenario probability (%) | 10 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 0.98 | +2% | +0.00 | +0.00 |
| FY27 | 1.03 | +5% | +0.03 | +0.03 |
| FY28 | 1.06 | +8% | +0.06 | +0.05 |
| FY29 | 1.09 | +10% | +0.09 | +0.06 |
| FY30 | 1.12 | +12% | +0.11 | +0.07 |

| | |
|---|---|
| Σ PV explicit FCF | +0.20 |
| + PV terminal (g 3.0%) | 0.93 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $1.13B |
| + Cash & investments | $0.80B |
| − Total debt | $0.40B |
| = Equity value | $1.53B |
| FY30 shares (M) | 300 |
| = Expected per share | $5.10 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $8.40 | $13.84 | $22.80 | $37.57 |
| 0.26× | 0.43× | 0.70× | 1.16× |

## BEAR $9.97

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +12.0 |
| Year-5 op margin (%) | 17.0 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 3.5 |
| Terminal FCF ($B) | $0.21B |
| Starting revenue ($B) | 0.81 |
| Scenario probability (%) | 27 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 1.02 | +6% | +0.00 | +0.00 |
| FY27 | 1.14 | +9% | +0.08 | +0.07 |
| FY28 | 1.24 | +12% | +0.12 | +0.09 |
| FY29 | 1.34 | +15% | +0.17 | +0.12 |
| FY30 | 1.43 | +17% | +0.21 | +0.13 |

| | |
|---|---|
| Σ PV explicit FCF | +0.41 |
| + PV terminal (g 3.5%) | 2.13 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $2.54B |
| + Cash & investments | $0.80B |
| − Total debt | $0.40B |
| = Equity value | $2.94B |
| FY30 shares (M) | 295 |
| = Expected per share | $9.97 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $16.06 | $25.86 | $41.65 | $67.07 |
| 0.50× | 0.80× | 1.29× | 2.07× |

## BASE $19.35

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +17.4 |
| Year-5 op margin (%) | 23.0 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $0.38B |
| Starting revenue ($B) | 0.81 |
| Scenario probability (%) | 36 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 1.04 | +8% | +0.01 | +0.01 |
| FY27 | 1.24 | +12% | +0.12 | +0.10 |
| FY28 | 1.44 | +16% | +0.20 | +0.15 |
| FY29 | 1.63 | +20% | +0.29 | +0.20 |
| FY30 | 1.81 | +23% | +0.38 | +0.24 |

| | |
|---|---|
| Σ PV explicit FCF | +0.71 |
| + PV terminal (g 4.0%) | 4.56 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $5.27B |
| + Cash & investments | $0.80B |
| − Total debt | $0.40B |
| = Equity value | $5.67B |
| FY30 shares (M) | 293 |
| = Expected per share | $19.35 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $30.46 | $47.95 | $75.49 | $118.84 |
| 0.94× | 1.48× | 2.33× | 3.67× |

## BULL $38.69

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +22.1 |
| Year-5 op margin (%) | 31.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 4.5 |
| Terminal FCF ($B) | $0.64B |
| Starting revenue ($B) | 0.81 |
| Scenario probability (%) | 18 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 1.06 | +10% | +0.02 | +0.02 |
| FY27 | 1.33 | +16% | +0.19 | +0.16 |
| FY28 | 1.62 | +22% | +0.33 | +0.25 |
| FY29 | 1.91 | +27% | +0.48 | +0.34 |
| FY30 | 2.20 | +31% | +0.64 | +0.41 |

| | |
|---|---|
| Σ PV explicit FCF | +1.18 |
| + PV terminal (g 4.5%) | 9.64 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $10.82B |
| + Cash & investments | $0.80B |
| − Total debt | $0.40B |
| = Equity value | $11.22B |
| FY30 shares (M) | 290 |
| = Expected per share | $38.69 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $59.53 | $91.59 | $140.93 | $216.83 |
| 1.84× | 2.83× | 4.36× | 6.70× |

## ULTRA BULL $72.05

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +26.8 |
| Year-5 op margin (%) | 37.0 |
| WACC (%) | 8.5 |
| Terminal growth (%) | 5.0 |
| Terminal FCF ($B) | $0.93B |
| Starting revenue ($B) | 0.81 |
| Scenario probability (%) | 9 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 1.10 | +12% | +0.03 | +0.03 |
| FY27 | 1.46 | +20% | +0.26 | +0.22 |
| FY28 | 1.85 | +27% | +0.46 | +0.36 |
| FY29 | 2.26 | +33% | +0.70 | +0.51 |
| FY30 | 2.67 | +37% | +0.93 | +0.62 |

| | |
|---|---|
| Σ PV explicit FCF | +1.74 |
| + PV terminal (g 5.0%) | 18.61 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $20.35B |
| + Cash & investments | $0.80B |
| − Total debt | $0.40B |
| = Equity value | $20.75B |
| FY30 shares (M) | 288 |
| = Expected per share | $72.05 |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $108.34 | $162.90 | $244.95 | $368.32 |
| 3.35× | 5.04× | 7.57× | 11.39× |

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# Caris Life Sciences People · Opportunity · Context · Deal

Bear $9.97 Base $19.35 Bull $38.69

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

**David D. Halbert** · `founder-led` — 18 yrs in seat

**44%**
insider ownership

**HIGH**
key-person risk

**Capital allocation (realized)**
IPO'd Jun-2025 at $21.00, raising ~$494M gross; FY2025 cash & equivalents jumped to $796.3M (from $64.0M FY24), ~$418M net cash. The inflection: FY2025 operating cash flow turned positive at +$83.2M (vs -$245.2M FY24) and, against ~$16.3M capex, free cash flow went positive ~+$67M near GAAP breakeven. R&D $101.6M FY25; no dividend; a $100M buyback authorized Jun-2026. SBC $70.0M FY25 (from $18.6M, IPO-driven) flatters adj-EBITDA. Apr-2026: a $400M Blue Owl/Blackstone term loan (SOFR+5.00%, 2031) replaced the 2023 loan, plus a $300M acquisition delayed-draw — explicit M&A capacity; buyback executed 1.0M shares for $17.9M; Q2-2026 FCF $6.4M as a ~$47M Detect inventory build absorbed OCF.

**Incentive alignment**
FY2025 total compensation ~$20.35M, ~96% equity/option awards granted around the June 2025 IPO and only ~3.8% (~$0.77M) base salary — a normal salary, not a nominal $1. The dominant alignment lever is the founder stake (~44% economic, ~$2.3B at the FY2025 price), not annual cash pay.

### GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) — confirmed in the final 424B4, the post-IPO charter, 10-K Exhibit 4.2 and SEC XBRL; the draft S-1's Class A/B 10-vote language was dropped before the IPO
- founder David Halbert is the largest holder at ~44.6% economic = ~44.6% of the vote (single-class) — significant influence, below an outright majority; insiders together ~66%
- combined Founder + Chairman + CEO (Halbert), with a lead independent director (Peter Castleman) as the counterweight
- majority-independent board (8 of 10), fully independent Audit + Compensation committees, no standing nominating committee; the prospectus's 'may become a controlled company' language was conditional, never affirmed
- related-party: aircraft agreements with Halbert-affiliated entities (Caris Air), ~$1.6-2.1M/yr net; co-founder Jon Halbert on the board since 2014
- material weakness in internal controls (FY25 10-K; remediating, no restatement); open DOJ civil investigative demand (Mar 2025, False Claims Act, Medicare 14-day rule; a 2022 ~$2.9M settlement covered the same rule)
- Aug-Sep 2026 option-related insider sales ~$28M (Spetzler, Brille, Poste); CEO Halbert sold nothing; director Jon Halbert bought $990K (May-2026)

## THE FOUR LEGS

**People**
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot · the Arthur Indicator

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-27.0% vs spot $32.35`

### PEOPLE READ

Founder-Chair-CEO Halbert is the largest holder at ~44.6% on a clean single-class one-vote register (no super-voting — the draft S-1's dual-class was dropped before the IPO), giving significant influence below an outright majority; the board keeps fully-independent Audit/Comp, 8-of-10 independence and a lead independent director, and he is aligned via the stake + a fresh FCF inflection + a new $100M buyback — with the combined Chair/CEO, the ~44.6% concentration, and a Halbert-affiliated aircraft related-party the offsets. The unremediated material weakness and open DOJ inquiry are new integrity-class flags; the score holds at 3 but sits at the 3/2 boundary.

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# Caris Life Sciences supporting analysis · disclaimers · glossary

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## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Priced near Tempus**
At ~8.4x the FY26 guide vs Tempus at ~7.6x, Caris is slightly richer but already FCF-positive where Tempus is not — the July discount has closed.

2 **The margin inflection is real**
Gross margin went 47%→65% in FY25 and 68% in Q2'26, with ~+$27M of GAAP operating income in the quarter — observed leverage, not promised.

3 **Comprehensive profiling is differentiated**
Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.

4 **Reimbursement went Caris's way**
CMS's preliminary 2027 fee schedule held MI Cancer Seek at $8,455 and raised Caris Assure to $5,250 while cutting ~1,100 codes — the pricing leg held.

5 **Detect is upside no scenario carries**
Caris Detect (Jul-2026, $3,500 cash-pay) has demand ahead of plan; the model already charges its build-out (FY26 owner-FCF ~1%) but books its revenue in no scenario — any uptake is upside.

## FALSIFICATION TRIGGERS

**Bull validation**
Volume re-accelerating from +18% toward ~23%; gross margin holding high-60s; first disclosed Detect revenue; CMS final rates (Nov).

**Bear validation**
Revenue undershooting the raised $1.03-1.04B guide; pharma/data line missing its $75-85M guide (H1 $16.9M); MolDX/NYS going against Assure.

**Reframe needed**
Owner-FCF still negative through FY27 while adj-EBITDA is positive; material weakness unremediated at the FY26 10-K, or the DOJ inquiry escalating.

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Comprehensive molecular profiling** — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.

**MI Cancer Seek** — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (>225M).

**Caris Assure** — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.

**Test-volume KPI** — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.

**Adj-EBITDA vs owner-FCF** — Adj-EBITDA adds back ~$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.

**Reimbursement true-ups** — Catch-up revenue booked when payers settle prior-period claims; ~$33M in FY25, ~$81M in Q4'25 alone — non-recurring, so it flatters growth.